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Opposition brewing as data centre capacity is set to explode across Canada

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OTTAWA — Across Canada, plans are underway for a massive boom in construction of the huge new data centres needed for artificial intelligence technology.

But opposition is also building as residents worry about how the facilities will affect their communities — and as the data centres themselves become a symbol of the anxieties swirling around AI.

“An AI data centre is like the physical avatar of AI. And so it’s just like concrete and steel, physical space of a technology that increasingly I think Canadians are worried is going to have a really disruptive impact on their lives,” said David Coletto, CEO of Abacus Data.

“The local concerns are tied to the resources that these data centres consume. So it’s about electricity, it’s about water, it’s about noise.”

The issue of data centres is percolating into the political debate

from the local level to Ottawa.

Opponents of proposed facilities have made their voices heard from Vancouver to [Olds, Alta.](#), to [Hamilton](#).

Olds residents have been rallying against a proposal for a 10-building campus with a total of 1.4 gigawatts of gas-fired power generation. In June, opponents held a protest in Vancouver to demonstrate against the opening of AI data centres. In Hamilton, a proposal to put a data centre campus on the harbourfront has sparked fierce pushback.

And those are just some of the communities on the front lines of efforts to vastly scale up data centre capacity in this country.

A government document prepared last year for federal Artificial Intelligence Minister Evan Solomon said Canada currently has about 337 megawatts of AI data centre capacity, and projects accounting for another 20 gigawatts-plus — or 20,000 megawatts — are “under planning or development.”

Government spokespeople insist that’s not a projection of the capacity Canada expects to build and the total capacity will be much lower.

A recent paper by York University researchers identified slightly higher figures. It said that as of June 2026, Canada had 194 active facilities with a combined capacity of 1.6 GW, with another 213 projects with 22.2 GW of capacity in the planning stages.

The vast majority of those planned projects are to be built in Alberta. The paper notes while the province currently has only 3.3 per cent of Canada’s active capacity, it accounts for a whopping 92 per cent of planned capacity.

Lyndsey Rolheiser, an urban economist and assistant professor at the Schulich School of Business at York University, co-authored the research. She said Alberta is on the leading edge of planned new builds because it offers data centres the copious energy sources they need.

“In Alberta, the quickest energy source is natural gas. And because of the deregulated market, it makes it very easy for these developments to self-generate on site,” she said.

Data centres aren’t new but the types of facilities being planned now are different from what Canadians may be used to, Rolheiser said. The new hyperscale data centres that will be used largely for AI are much larger than previous versions and tend to be located in rural areas.

Anne Pasek, associate professor and Canada Research Chair in media, culture and the environment at Trent University, said as the scale of the projects has increased, so has the media attention and public scrutiny they attract.

“What to me in the longer history of my research has been a kind of somewhat boring, somewhat difficult to make charismatic topic of the data centre has kind of been attached to the stranger-danger of AI today,” Pasek said.

Proposals to build massive new data centres have become a focus for the public’s fears about AI stealing jobs, AI models being trained through the unauthorized use of data, and AI being used for scams and sexual abuse, she said.

“Saying no to a data centre is a way of saying no to AI as a broad category of technology, and often the only way people sometimes can in their lives,” Pasek said.

Those living in communities where data centres have been pitched worry about their effects on the environment and on public health through air and noise pollution, coupled with the stress they could place on water tables and the electricity supply, she said.

They also worry about an AI market bubble bursting and dragging their community down with it, Pasek added.

Blayne Haggart, a political-science professor at Brock University, said people see AI as a disruptive technology.

“This is kind of a way of protesting that because at the same time, too, you’ve got a government at the federal level that has ... been going all in and very gung-ho on AI,” he said.

In its recent national AI strategy, the federal government said Canada is “uniquely positioned” to take the lead on building data centres in a responsible and sustainable way.

“Canada will double the electricity grid, largely with clean power, hydro, nuclear and renewables, and leverage its cold climate to give itself a built-in cost advantage that competitors are spending billions to replicate artificially while minimizing carbon footprint and water usage,” the document says.

A media statement provided by a spokesperson for Solomon said data centres are key to Canada’s digital sovereignty.

“New projects must meet strong environmental standards, use energy and water responsibly, deliver tangible benefits to local communities and ensure taxpayers are not left bearing unreasonable costs for private development,” the statement said.

It also said proposals to build data centres can raise legitimate concerns about issues like electricity and water use.

“Those concerns should be addressed through municipal planning, provincial review and utility allocation processes, supported by early and transparent engagement with local communities,” the statement said.

Federal NDP Leader Avi Lewis said the federal government is moving too fast to embrace the technology and he wants to see a national moratorium on new data centre builds.

“Across North America, governments and communities — from across the political spectrum — are beginning to recognize that we cannot rush into an unregulated experiment with AI without first putting the right guardrails in place to protect people,” Lewis said in an emailed statement.

The Conservatives recently saw some apparent disagreement in their ranks over a new hyperscale data centre Meta is proposing to build in Alberta.

“After eleven years of failing to build the energy infrastructure Canada needs, the government must explain whether this project is truly viable and who will ultimately own, control, and benefit from the infrastructure if it proceeds,” the party’s newly named AI critic Leslyn Lewis said in a social media post.

After longtime Conservative MP Michelle Rempel Garner chimed in to say the project was a “great investment,” Lewis said she welcomed Alberta’s success in attracting the project.

In an emailed statement, Lewis said the Liberals “should remove unnecessary barriers, allow projects to move forward, attract private capital, and help Canada compete in the global economy.”

Haggart said while it’s the federal government that sets AI policy

for the country, it's local politicians responsible for zoning who feel most of the heat over data centre proposals.

He said it's ironic that those at the federal level who are the biggest proponents of AI, like Prime Minister Mark Carney and Solomon, "are the ones who least have to answer for the things that are really upsetting local residents."

Coletto said he believes data centres could become a big political issue in the near future. He noted Ontario, Manitoba and British Columbia are set to hold municipal elections this fall.

But Andrew Enns, Leger's executive vice-president for Central Canada, said the results of a recent poll indicate Canadians are divided on the issue — which means it's not necessarily a political "slam-dunk either way."

Just under half, 46 per cent, told Leger building the facilities to back Canadian-based AI services would be a good thing, while 37 per cent said it would be a bad thing.

Enns said while data centres have the potential to become a major political issue, it's "still a little early yet to see how this will shake out in a political environment."

The debate in the United States — which began earlier than the one in Canada — could be a harbinger.

On Wednesday, New York became the first state to order a moratorium on new large data centres. In Hamilton city councillors rejected a proposal for moratorium Thursday. Had it passed, Hamilton would have become the first city in Canada to implement a pause on data centres.

Coletto said that as Canadians consume "media coming out of the

United States, the debates in the U.S. are going to inform our thinking about this.”

“And so, I think right now opposition is more likely to increase than decrease because of the momentum that this issue has in that direction,” he said.

Pasek noted there can be a surprising bipartisan consensus on opposition to data centres.

“If you’re a libertarian, you think that there shouldn’t be this kind of imposition of government forces conspiring to subsidize electricity or something of that nature for a data centre,” she said.

“If you’re a hippie environmentalist like me, then you’re going to be quite hawkish on the question of the climate impact of these systems. There’s something in the buffet for everyone.”

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